


CHANDRADEEP KUMAR

is unlikely. We think that the permanent scarring to the labour market and balance sheets of households and SMEs has lowered India's potential growth over the medium term.

**● NEELKANTH MISHRA**

Economic activity is only now coming back fully. We have to remember that one in four Indians is a student, and most students were not going to schools/ colleges. Not only did this mean that many teachers in private schools lost their jobs, but the transportation to and from education institutions, a business worth over Rs 1.6 lakh crore, was mostly shut. Similarly, inbound international tourism was 1 per cent of GDP before Covid, and is only now restarting. As offices and schools have reopened, demand for personal services has picked up: domestic help, drivers, receptionists, etc. Similarly, with the opening up, spending by the central and state governments has picked up. There were also supply-related disruptions in production in some sectors. We should see a pick-up in industrial production in the coming months. Private investments were expected to be healthy, but given the rise in global uncertainty and the necessity of some major macroeconomic adjustments in the Indian economy, the acceleration may be postponed by six to 12 months.

**● PRONAB SEN**

Only a part of the economy is back in full swing—the corporate sector. The MSME sector continues to limp seriously. This is likely to continue for the next couple of years until capacities in this sector are rebuilt.

**● AJIT RANADE**

Private investment spending is indeed still sluggish. Investors are in wait and watch mode. The Ukraine war, global geopolitics and stagflation fears have made investors wary. Some sectors are definitely booming, like infotech, metals and mining, healthcare and pharma. The hiring in the infotech sector is supposed to be three times what we saw in the past couple of years. Anything that has a digital aspect (be it crypto assets, cloud computing or AI) will see good times. Other sectors that are likely to see better times are green initiatives (including renewables) and the ones that benefit from the government's infra spending.

> **"Apart from IP and investment, consumption too is running way below its pre-pandemic path"**
> – JAHANGIR AZIZ

## Q. Do you think the RBI should have raised key rates to check inflation?

**● ADITI NAYAR**

We were expecting a change in tone to signal an upcoming stance change, which is what the MPC has provided. With inflation being imported and supply side in nature and not demand-led as of now in India, we foresee a shallow rate hike cycle of 50 basis points (bps) in Q2 FY23.

**● NEELKANTH MISHRA**

The RBI has already meaningfully tightened financial conditions in the past six months. When the banking system is depositing surplus funds back at the RBI every night, the effective rate is the reverse repo rate and not the repo rate. That is the cost at which the RBI takes in the surplus funds with banks. As the governor explained in February, the weighted average cost of absorption rose by 50 bps, from 3.37 per cent in September 2021 to 3.87 per cent in the fortnight ending February 6, 2022. They did so not by raising the reverse repo rate, but by conducting VRRR (variable rate reverse repo) auctions at nearly 4 per cent. These auctions though were still at the RBI's discretion, and the introduction of the SDF [standing deposit facility] at 3.75 per cent firms up the RBI's stance on normalising the rate corridor. The rise in deposit rates and sovereign bond yields means that financial conditions have already tightened materially. Raising the repo rate till there are overnight surpluses